# Duress

English contract law | Study guide | Threats, practical choice and remedies

A person may knowingly sign an agreement because of an illegitimate threat. Contractual duress concerns the pressure and its effect on the decision. If established, it generally makes the agreement voidable and may allow the affected party to set it aside.

## 1. Identify the threat and the agreement

State who made the threat, what was demanded and which agreement or variation was signed. Threats of physical violence are a classic form of illegitimate pressure. Assess the words and circumstances, including how the threat reached the person and how it affected the decision.

## 2. Barton v Armstrong | Threats to life

Armstrong threatened Barton's life while seeking his agreement to a deal involving the purchase of shares. Barton also had commercial reasons to sign. The Privy Council majority held that the threats could vitiate the agreement if they contributed to his decision. The threats could be one reason among several.

## 3. Apply the causation rule for threats to the person

On the facts of *Barton*, once the relevant threats made to procure signature were proved, Armstrong had to show that they contributed nothing to the decision. Barton did not have to show that the threats were indispensable to his decision. Keep this rule distinct from the ordinary economic-duress inquiry.

## 4. Find the evidence of pressure and its effect

Compare messages, witnesses and meeting records with the sequence of negotiations and signature. An account of the commercial reasons may explain part of the decision. Ask whether the threats also played a part. Assess whether the contract was later affirmed, after the pressure ended.

> Legal English | **Under duress** means under illegitimate pressure in this context. **Voidable** means the agreement is effective unless it is set aside.

# Economic Duress

## 1. Was the pressure illegitimate?

Start with the parties' existing rights and obligations. A threat to withhold performance already due unless the other party pays more can be illegitimate. The purpose of the demand, the circumstances and any genuine dispute matter. A threat to breach is important evidence and the court considers it in context.

## 2. Was there a reasonable alternative?

Ask what the pressured party could realistically do at the time. A substitute supplier, an extension or timely legal relief may matter. A claim for damages later may leave a business unable to fulfil an immediate commitment. The availability of an option depends on time, cost and whether it would address the threatened harm.

## 3. Did the pressure induce the bargain?

In an economic-duress problem, ask whether the party would have made the agreement on those terms without the pressure. Distinguish causation from the absence of a reasonable alternative. Contemporaneous objections, searches for alternatives and records of the decision can help establish both.

## 4. Pao On and Atlas Express | The contrast

In *Pao On*, the Privy Council treated protest, alternatives, independent advice and steps to avoid the bargain as relevant indicators. It found commercial pressure on the facts. In *Atlas Express*, a carrier demanded revised charges when a small supplier had no practical replacement in time for its deliveries. The court found economic duress.

> Exam method | Identify the threatened act, test the options realistically available and explain why the party agreed to the new terms.

# Lawful Pressure and Rescission

## 1. Times Travel | A lawful act in commercial negotiations

An airline used its contractual rights in its dealings with a travel agent and required a waiver of earlier commission claims in a new agreement. The Supreme Court found no duress on the facts. Economic duress based on a threat of lawful action remains exceptional in commercial negotiations. Strong bargaining power alone is insufficient.

## 2. Identify exactly what can be set aside

Duress may affect a whole contract or a later variation, depending on what the pressure procured. Where only a price increase was procured by duress, analyse that variation and the original contract separately. Rescission may allow recovery of money paid under the variation, subject to the applicable conditions.

## 3. The Atlantic Baron | Affirmation after pressure ends

A shipbuilder demanded a price increase and threatened to stop performance. Economic duress was found, but the shipowner's conduct, including delay after delivery, affirmed the variation and prevented recovery. Consider when the pressure ended and what the affected party then said or did. Payments made while pressure continues have a different significance.

## 4. Duress and undue influence

Duress focuses on an illegitimate threat or pressure that induced agreement. Undue influence in equity examines the improper use of influence over the person's decision. Where facts suggest both routes, analyse the requirements and evidence for each separately.

> Legal English | **To affirm a contract** means to elect to keep it in force. **To rescind** means to set it aside.

# Worked Problem and Authorities

## The last-minute surcharge

A supplier is contractually bound to deliver specialised parts on Friday. On Thursday it refuses delivery unless a manufacturer signs a 20% price increase. No replacement can arrive before a customer deadline. The manufacturer records its protest, signs and pays the surcharge. After delivery and once the pressure is over, it promptly challenges the variation. Is there economic duress?

## Model analysis

**Pressure and practical choice.** The supplier threatened to breach an existing delivery obligation. The timing and absence of a realistic substitute support illegitimacy and lack of reasonable choice. Consider any other remedy that could actually have secured timely delivery.

**Causation and remedy.** The protest and agreed original price support the conclusion that the manufacturer would not have accepted the increase without the threat. Prompt challenge weighs against affirmation. The manufacturer may seek to set aside the variation and recover the surcharge, subject to the applicable requirements.

**Check the records.** The original purchase order, the supplier's ultimatum and replacement quotes can show what was owed and what choices existed. Payment records and the date of the challenge help distinguish submission from affirmation.

> Variation | A reliable substitute is available in time at the original price. The manufacturer chooses the new terms for convenience. Those facts weaken both the lack of reasonable choice and the case on causation.

### Selected authorities

*Barton v Armstrong* [1976] AC 104 | Threats to the person
*Pao On v Lau Yiu Long* [1980] AC 614 | Evidence of compulsion
*Atlas Express Ltd v Kafco* [1989] 1 QB 833 | Economic duress
*DSND Subsea Ltd v Petroleum Geo Services* [2000] BLR 530 | Practical alternatives
*Pakistan International Airline Corp v Times Travel* [2021] UKSC 40 | Lawful act duress
*North Ocean Shipping v Hyundai (The Atlantic Baron)* [1979] 1 QB 705 | Affirmation